

Multiple Choice (20 marks)

1. Suppose today's headline is that private investment has decreased as a result of an action by the Federal Reserve. Which of the following choices is the most...
 - (a) Selling Treasury securities to commercial banks
 - (b) Lowering of the discount rate
 - (c) Decreasing the reserve ratio
 - (d) Elimination of a corporate tax credit on investment
2. If Real GDP = \$200 billion and the price index = 200 Nominal GDP is
 - (a) \$4 billion
 - (b) \$400 billion
 - (c) \$200 billion
 - (d) \$2 billion
3. Which of the following could limit the ability of a central bank to conduct expansionary monetary policy?
 - (a) Money demand is nearly perfectly elastic.
 - (b) Investment demand is nearly perfectly elastic.
 - (c) Banks make loans with all excess reserves.
 - (d) Households carry very little cash holding their money in checking and saving deposits.
4. Which of the following is an example of capital as an economic resource?
 - (a) A cement mixer
 - (b) A barrel of crude oil
 - (c) A registered nurse
 - (d) A share of corporate stock
5. Price times quantity measures
 - (a) the international trade gap.
 - (b) the budget deficit.
 - (c) total revenue.
 - (d) price elasticity of demand.
6. Firms maximize their profits by producing a level of output at which

- (a) $MC = AFC$.
 - (b) $MC = MR$.
 - (c) $P = ATC$.
 - (d) $MR = AVC$.
7. Which of the following is an accurate statement of the money supply in the United States?
- (a) The money supply is backed by gold reserves.
 - (b) The least liquid measure of money is M2.
 - (c) M1 is larger than M3.
 - (d) The most liquid measure of money is M1.
8. According to Keynesian economists
- (a) the investment demand curve is relatively elastic
 - (b) fiscal policy is more effective than monetary policy
 - (c) the economy is inherently stable
 - (d) inadequate supply is largely to blame for periods of stagnation
9. In a long period of economic expansion the tax revenue collected ____ and the amount spent on welfare programs ____ creating a budget ____ .
- (a) increases decreases surplus
 - (b) increases decreases deficit
 - (c) decreases decreases surplus
 - (d) decreases increases deficit
10. Which of the following is a direct accurate link within the circular flow?
- (a) Goods and services are exchanged for inputs via the factor markets.
 - (b) Wages and rents are exchanged for income via the product markets.
 - (c) Household expenditures result in revenues for firms via the product markets.
 - (d) Household income results in revenues via the factor markets.

True / False (20 marks)

Answer True or False and justify briefly.

1. True or False: The correct answer to 'To deflate nominal gross domestic product (GDP) you must' is 'divide nominal GDP by the GDP deflator.'

2. True or False: The correct answer to 'Macroeconomics focuses on' is 'the resource use of the entire nation.'
3. True or False: The correct answer to 'Unlike a perfectly competitive firm, a monopoly' is 'faces a downward sloping demand curve'.
4. True or False: The correct answer to 'As the Japanese economy expands in what ways do U.S. net exports the values of the dollar and the yen change? U.S. NET EXPORTS VALUE OF...' is 'Increase Increase Decrease'.
5. True or False: The correct answer to 'Which of the following are harmed by unexpectedly high rates of inflation?' is 'Savers who have put their money in long-term assets that pay a fixed interest rate.'
6. True or False: The correct answer to 'Marginal cost always intersects average variable cost at' is 'the minimum of marginal cost'.
7. True or False: The correct answer to 'Which of the following is true for a firm operating under perfect competition in the long run?' is 'The firm will realize zero economic profits.'
8. True or False: The correct answer to 'When nominal GDP is rising we would expect money demand to' is 'decrease as consumers demand more money for transactions increasing the interest rate.'
9. True or False: The correct answer to 'Monopolistic competition is said to be productively inefficient because' is 'the long-run price is above minimum average total cost.'
10. True or False: The correct answer to 'When a monopolist has maximized profit,' is 'price is set above marginal cost, creating allocative inefficiency.'

End of Paper